

(S E R V E D)
(April 18, 2012)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

**INFORMAL DOCKET NO. 1920(I)
INFORMAL DOCKET NO. 1921(I)**

**ADEBISI A. ADENARIWO
(Claimant),**

v.

**BDP INTERNATIONAL,
ZIM INTEGRATED SHIPPING, LTD.
AND ITS AGENT (LANSAL) ET AL.
(Respondents),**

DECISION AND ORDER

Decision and Order of Tara E. Nielsen, Settlement Officer¹

Claim dismissed in Informal Docket 1920(I); Claimant Ordered to Supplement Record in Informal Docket 1921(I).

On May 3, 2011, claimant Adebisi A. Adenariwo (Mr. Adenariwo or Claimant), a principal of MacBride Nig. Ltd. (MacBride), commenced Informal Dockets. Nos. 1920(I) and 1921(I) by filing two separate informal complaints against BDP International, Inc. (BDP), Zim Integrated Shipping, Ltd. (Zim) and Zim's agent Lansal. The complaints were procedurally

¹ This decision will become final unless, within thirty (30) days from the date of service of this decision, the Commission elects to review it or a petition for reconsideration is filed. 46 C.F.R. §502.304(g)-(h).

consolidated as they involved substantially the same issues and parties.² On May 26, 2011, Respondents BDP and Zim were served with the complaints and memorandum consolidating the proceedings. Claimant did not provide additional identifying information for Lansal, such as an address for service of process. Thus, Lansal was not directly served and is not currently a party to the proceeding; Zim as the principal in the agency relationship was served.

I. BACKGROUND

MacBride is a corporation in the business of producing concrete masonry products in Lagos, Nigeria. BDP is a licensed freight forwarder, Org. No. 004510. Zim is a vessel operating common carrier. In 2008, MacBride purchased concrete products equipment from Nethamer Limited (Nethamer), located in Michigan, to be shipped to Nigeria. Nethamer was exporter of record on the shipment and BDP arranged the transportation for the equipment in two 40 foot containers. In Mr. Adenariwo's complaints, he alleges that the respondents violated section 41102(c) of the Shipping Act of 1984,³ by failing to observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing or delivering property.

Mr. Adenariwo is seeking the statutory maximum under Subpart S of \$50,000 in each docket, for "replacement of [his] lost equipment." For purposes of clarity, it is deemed that Informal Docket No. 1920(I) is seeking reparations for shipment #1: container number

² Rule 148 of the Commission Rules of Practice and Procedure providing for consolidation does not apply to proceedings under subpart S or T. However, the Commission previously has allowed consolidation in proceedings under Subpart S and T, finding that such action is within its discretion when the proceedings share a common question of law or fact. See Informal Docket 1880(F) Clutch Auto Ltd v. International Touch Consolidator, Inc., MacAndrews and Co., Ltd., Rosmarine Shipping Private Ltd. and Hitos Liner Agency Private Ltd., and Informal Docket 1885(I), D&W Clutch and Brake v. International Touch Consolidator, Inc., MacAndrews and Co., Ltd., Rosmarine Shipping Private Ltd., Memorandum and Order Consolidating Proceedings served April 10, 2007.

³ The Commission has commonly referred to provisions of the Shipping Act by their original section numbers which are well-known in the industry. See World Chance Logistics (Hong Kong), Ltd. And Yu, Chi Shing, a.k.a. Johnny Yu – Possible Violations of Section 10 of the Shipping Act of 1984, FMC No. 09-07 (Oct. 22, 2009) (Order of Investigation and Hearing). Section 41102(c) refers to former Section 10(d)(1).

ZCSU258371-4 and Informal Docket No. 1921(I) is seeking reparations for shipment #2: container number ZCSU889833-9. The Claimant is seeking total damages of \$100,000.

Mr. Adenariwo asserts that for shipment #1, BDP failed to timely provide Zim with documentation necessary for release. Zim's agent, Lansal, held the shipment and the container accrued storage charges at destination. Mr. Adenariwo then asserts that shipment #2 was unreasonably held by Zim's agent on Zim's orders until it received payment for shipment #1's storage charges. Ultimately, the outstanding storage charges remained unpaid and both shipments were disposed of in Nigeria.

Respondents BDP and Zim deny the allegations and raise affirmative defenses that (1) the violations are time barred under the Shipping Act; and that (2) Mr. Adenariwo is not a proper party to dispute the claims. Before determining whether the respondents' violated section 41102(c) of the Shipping Act as alleged by Mr. Adenariwo, these initial matters must be determined.

II. DISCUSSION

1. The Shipping Act's Statute of Limitations bars recovery of Informal Docket No. 1920(I).

Respondents' both affirmatively raise a statute of limitations defense, asserting that the claimant did not timely file the complaints in this proceeding. Section 41301(a) of the Shipping Act provides that a complaint alleging violations may be filed within three years after the cause of action accrued.⁴ See also 46 U.S.C. § 41305(b) (If the complaint was filed timely under section 41301(a), the Commission shall direct payment of reparations for actual injury caused by the violation.) In addition, Subpart S of the Commission's rules governing informal docket

⁴ 46 C.F.R. 41301(a) is formerly codified as Section 11(g) of the Shipping Act of 1984.

proceedings provides that “[c]laims alleging violations of the Shipping Act of 1984 must be filed within three years from the time the cause of action accrues.” 46 C.F.R. §502.302(a).

The question raised, therefore, is whether the claimant’s complaints were filed within three years of when the cause(s) of action accrued. The Commission has previously held that the “discovery rule” related to a cause of action applies to proceedings before it. Inlet Fish Producers, Inc. v. Sea-Land Service, Inc., 29 S.R.R. 306 (2001); Maher Terminals LLC v. Port Authority of N.Y. and N.J., 32 S.R.R. 1, 10-11 (ALJ 2011). The discovery rule finds that a cause of action accrued when the claimant knew or should have known that it had a claim against a party. In adopting this rule, the Commission stated:

To find that the cause of action accrued when the shipments took place would appear to be overly restrictive. It would not be appropriate for [the claimant] to lose its right to seek Commission adjudication of its dispute when it had no conclusive information about such a dispute for several years after the shipments took place.

...

The Shipping Act itself suggests this result. Section 13(f)(2), 46 U.S.C. app. § 1712(f)(2), provides that “proceeding[s] to assess a civil penalty under this section shall be commenced within 5 years from the date the violation occurred” (emphasis added). Section 14(e), 46 U.S.C. app. § 1713(e), provides that “action[s] seeking enforcement of a Commission order must be filed within 3 years after the date of the violation of the order” (emphasis added). This is notably different from the use of the phrase “after the cause of action accrued” in section 11(g), and would appear to raise a presumption that if Congress had intended claims under section 11 seeking the payment of reparations to be filed within three years “from the date the violation occurred,” it would have used such language.

Inlet Fish Producers at 313.

The Commission, in applying the discovery rule applies to its proceedings, cited Connors v.

Hallmark & Son Coal Co., 935 F2d 336, 342 (D.C. Cir. 1991), where the court ruled:

[i]f the injury is such that it should reasonably be discovered at the time it occurs, then the plaintiff should be charged with discovery of the injury, and the limitations period should commence, at that time. But if, on the other hand, the injury is not of the sort that can readily be discovered when it occurs, then the action will accrue, and the limitations period commence, only when the plaintiff has discovered, or with due diligence, should have discovered, the injury.

I find that the cause(s) of action in the present claims accrued when the claimant knew or had reason to know that it had a claim or claims related to the shipments. Respondent BDP asserts that the cause of action for both claims accrued on April 17, 2008, when shipment #1 arrived at the port and was not released and demurrage, if any, began to accrue on or about April 22, 2008. Respondent Zim asserts that the cause of action accrued shortly after April 18, 2008, when shipment #1 arrived in Nigeria, and demurrage began accruing prior to May 1, 2008. Respondents argue that because the disputes in the complaints arise out of the effort to collect demurrage on shipment #1, they should both be dismissed. Zim further asserts that, at a minimum, the complaint related to shipment #1 is time barred. Mr. Adenariwo alleges in his September 20, 2011 letter that “[w]e did not learn of the harm until June 2nd, 2008.”

Each of the shipments in this matter moved under separate bills of lading.⁵ In Tariff Compliance International, Judge Harris stated that “each bill of lading is a separate transaction, and the merits of each claim must be considered in toto and independent of claims under any other bill of lading.” Tariff Compliance Int’l v. Kawasaki Kisen Kaisha, Ltd., 22 S.R.R. 1125, 1132 (1984), citing Colgate Palmolive Co. v. The Grace Lines, Informal Docket No. 194(1), 17 FMC 279, 280 (1974).

Based on the evidence presented, I find that Informal Docket 1920(I) should be dismissed for failing to meet the statute of limitations requirement, but that Informal Docket 1921(I) was filed timely and therefore is not dismissed. I discuss each claim in turn below.

Informal Docket 1920(I) – Shipment #1:

A cause of action accrued in Informal Docket 1920(I) when Mr. Adenariwo knew or had reason to know that he had a claim related to shipment #1. For shipment #1, Mr. Adenariwo

⁵ Written statements provided support that the two shipments were originally intended to be shipped together as related pieces of machinery. For some reason, however, the shipments were split and moved separately. The reason behind the split is unknown and does not impact the decision in this proceeding.

asserts in his complaint that “MacBride Nigeria, Ltd. received a corrected copy of the bill of lading for container number ZCSU2583714 on 23 April 2008, six days after the arrival of the container at port. BDP International refused to pay the storage charges which was caused by their negligence and because of nonpayment of storage charges, Zim Container Lines disposed of the equipment in container number ZCSU2583714.”

On April 30, 2008, BDP’s representative sent Zim the following message: “I have been informed by my customer that the b/l has not been released overseas yet. Can you please go ahead and have this released to your agent Grimaldi so that my customer can pick up the container....”⁶ Without reaching the merits of his claim of injury by each named respondent, it can be ascertained that Mr. Adenariwo knew or should have known that the first shipment was not released and that demurrage was accruing on the shipment.

Mr. Adenariwo does not raise the theory of a “continuing violation” rule that would permit him to seek reparations for any violation that occurred in the period beginning three years prior to the date his complaint was filed with the Commission. Such a rule, however, would not apply in this case. In Maheer, Judge Guthridge found that a respondent must commit a separate new overt act within the limitations period claims for a claimant to receive a reparations award. Maheer Terminals LLC c. Port Authority of New York & New Jersey, 32 S.R.R. 1, 24 (Initial Decision 2011) (citing Varner v. Peterson Farms, 371 F3d 1011 (8th Cir. 2004), “An overt act has two elements: (1) it must be a new and independent act that is not merely a reaffirmation of a previous act, and (2) it must inflict new and accumulating injury on the plaintiff. Pact Industries, Inc., 813 F2d at 238. Acts that are merely “unabated inertial consequences” of a single act do not restart the statute of limitations.”⁷

⁶ E-mail from Steve Browne at BDP to Deborah Hare at Zim, dated Wednesday, April 30, 2008, 10:31AM.

⁷ The Maheer proceeding, Docket 08-03, is ongoing before the Commission and has not reached final determination.

Although the injury apparently continued until the goods were abandoned, the initial injury accrued at the time that MacBride knew or should have known that it could not collect its shipment. Respondents' continuing to hold the shipments and/or failing to secure release of the shipments within the three years before Mr. Adenariwo's complaint filing is not a new and independent act that inflicted a new injury.

Without question, the provided written record of the action at the initial stages of the shipment's issue is minimal. I find, however, based on Mr. Adenariwo's own representations and the correspondence at the time of the initial delay, that he knew of shipment #1's problems on or before April 30, 2008, resulting in the three year statute of limitations period expiring on April 30, 2011. According to the discovery rule and principles set forth by the Commission, Mr. Adenariwo's claim in Informal Docket 1920(I) was not filed timely. Thus, this claim is dismissed.

Informal Docket 1921(I) – Shipment #2

Mr. Adenariwo's claim under Informal Docket 1921(I) also accrued when he knew or had reason to know of the claim. Shipment #2 arrived at destination on May 17, 2008. It is undisputed by claimant and respondent BDP that on June 3, 2008, BDP was informed by the consignee that it was unable to clear the cargo and secure its release. Applying the discovery rule to this shipment, it is evident that Mr. Adenariwo's claim did not accrue until at least the time of arrival at the port, and likely not until approximately June 3, 2012. Given that the proceeding was filed less than three years after the claim accrued, it is not barred by the statute of limitations. Thus, Informal Docket 1921(I) is not dismissed as time-barred.

2. The claimant has standing to file a complaint however he is ineligible to receive reparations under the Shipping Act.

I next examine the respondents' arguments that the remaining proceeding, Informal Docket 1921(I), should be dismissed because Mr. Adenariwo is not a proper party to the dispute.⁸ Respondent BDP alleges that Mr. Adenariwo lacks standing to file a claim because he is not a party to the shipments. Respondent Zim alleges that Mr. Adenariwo is not eligible to receive reparations under the Shipping Act as he is not the owner of the cargo, and only owners of the cargo can suffer an injury under the Shipping Act.

The Shipping Act provides that "a person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part... If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation." 46 U.S.C. 41301(a). A showing of injury is required only if the claimant seeks reparations. See Trane v. South Africa Marine Corp. (N.Y.), 19 F.M.C. 374 (1976); Rohm & Haas Co. v. Italian Line, 21 S.R.R. 212, 215-216 (1981).⁹ Because Mr. Adenariwo alleges a Shipping Act violation his standing is not in question. The proper question is whether Mr. Adenariwo was injured by a violation of the Shipping Act, entitling him to reparations.

Generally, claimants seeking reparations must directly suffer an injury. However, the Commission has found limited exceptions apply. An injured party is allowed to assign its claim, thereby transferring legal title, to a third party. The third party then legally steps into the

⁸ The respondents' argue that Mr. Adenariwo lacks standing in both Informal Docket 1920 and 1921. Based on the dismissal of Informal Docket 1920 as time-barred, the only proceeding remaining to consider the standing issue is Informal Docket 1921.

⁹ In Rohm, which refers to the current Shipping Act's precursor, the Shipping Act of 1916, the Commission emphasized that section 22, which then read as 'any person may file', "clearly gives "any" person standing to file a complaint alleging a violation of the Shipping Act, and asking for reparation for injury caused thereby." Id. at 215. Although the language of the statute has been revised, the meaning and intent that permits broad filings of complaints has not changed.

shoes of the injured party. See Ocean Freight Consultants, Inc. v. The Bank Line Limited, 9 F.M.C 211, 216 (1966). The Commission has also held that express assignment of the claim is not always required. In S.A. Chiarella dba S.A. Chiarella Forwarding Co. v. Pacon Express Inc., 27 S.R.R. 1335 (2001) the Commission reversed a decision of the Settlement Officer, finding that Mr. Chiarella, a licensed freight forwarder, acted as a fiduciary when making payments on behalf of its shipper customer in accordance with its agent relationship.

MacBride, as consignee of the shipments and owner of the cargo, appears to be a proper party to bring its claims of injury. It is listed on various import documentation: Certificate of Entry; Federal Republic of Nigeria Form M Application to Import; Union Bank of Nigeria's Collection of Customs Duties Form; Customs Declaration; and Customs and Excise of Nigeria Payment Schedule. MacBride is also listed on Bills of Lading Nos. ZIMUORF245882 and ZIMUORF247677.¹⁰ Thus, the claims are MacBride's to make itself or to assign.

In his September 20, 2011 filing,¹¹ Mr. Adenariwo stated that he is a principal of MacBride, providing a copy of the Certificate of Incorporation and Articles of Association for MacBride Nigeria Ltd. with himself as owner and shareholder of the corporation. Mr. Adenariwo further asserted that "I was better able to explain the pain and injury that I suffered as a result of the violations of the shipping [sic] Act by BDP and Zim. Therefore, I am able to seek for reparation sustained by MacBride Nigeria Ltd."

Despite providing corporate documentation indicating his relationship to MacBride, Mr. Adenariwo has not sufficiently demonstrated that MacBride assigned its claim to him for the

¹⁰ Bills of Lading Nos. ZIMUORF245882 and ZIMUORF247677 issued for the shipments, show the consignee as "McBride General Ltd. Mr. Tony Denariwo" and "MacBride Nigeria Ltd., Mr. Tony Denariwo" respectively. Although the incorrect names are provided for MacBride on the first bill of lading and for Mr. Adenariwo on both, it indicates that the consignee is the corporation with Mr. Adenariwo as its named representative.

¹¹ On September 20, 2011, Mr. Adenariwo filed a supplemental pleading titled "Re: Additional Informations [sic] and Documents with the Above Referenced [sic] Cases."

purposes of these proceedings, or that he alternatively acted in a fiduciary capacity such as a freight forwarder, on to these shipments. Mr. Adenariwo, as a director of MacBride and a principal, may indeed have a fiduciary duty to act on behalf of the company's best interests. However, Mr. Adenariwo has not shown that he acted in his personal capacity as agent for MacBride, and further, did not take action (such as personally paying storage charges on the shipment) showing that he should now be entitled to reparation.

3. Mr. Adenariwo is ordered to supplement the record in Informal Docket 1921(I).

Given that Mr. Adenariwo does not have a valid claim for reparations, the issue becomes (1) whether Informal Docket 1921(I) should be dismissed or (2) whether Mr. Adenariwo should be permitted to cure the defective complaint without being barred by the statute of limitations, which has now run on the matter.

It is well settled that failing to perfect a claim by the time a complaint is filed does not bar reparations under the Shipping Act. See, Kuehne and Nagel, Inc. v. Barber Blue Sea Line, 23 S.R.R. 94 (I.D. 1985), affirming I.D. at 22 S.R.R. 1245. In Rohm, the Commission allowed a complainant to amend its complaint that had been timely filed but whose complainant's standing was defective after the statute of limitations expired. In doing so, it stated:

In order to recover reparations under Section 22, however, a complainant must have suffered injury. The proof of injury, like any other element of the Complainant's case on the merits, is a matter of evidence which has no relation to the issue of standing or to the time limitation for filing the complaint. Whatever action the complainant may have to take in the course of the proceeding to prove its right to recovery, including the perfecting of its claim, relates to the burden of proof a complainant must sustain in order to prevail, and is not, therefore, subject to the two-year period of limitations.

...

Complainant Rohm & Haas must demonstrate that it has been injured as a result of Respondent's alleged overcharge. In order to provide Rohm & Haas an opportunity to accomplish this, it will be allowed 60 days from the date of this Order to obtain an

assignment of the claim from its subsidiary Rohm & Hass Italia S.p.A. Should it fail to do so within the time specified, the complaint will be dismissed for failure to prosecute.

Rohm, supra, at 215-216.

The Commission further explained in Rohm that, to the extent past Commission decisions conflict with the above principle, they are overruled. Id. Thus, based on Rohm, decisions in cases such as Trane, supra, which held that failing to name a jurisdictionally indispensable party is a fatal defect and required dismissal, no longer would be followed.¹²

Mr. Adenariwo's claim in Informal Docket 1921(I) is facially deficient. Given that the Commission allows a claimant to perfect a claim after filing, Mr. Adenariwo is allowed to demonstrate his injury by the respondents at this time. Accordingly, Mr. Adenariwo is granted 60 days from the date of this Order to obtain a valid assignment of the claim from McBride. Any failure to do so will result in the complaint's dismissal for failure to prosecute. A decision on the merits of the section 41102(c) claim will be considered if and when Mr. Adenariwo's claim is perfected.

III. CONCLUSION

In light of the above, Informal Docket No. 1920(I) is dismissed for failing to timely file its complaint within the three year statute of limitations. Claimant filed Informal Docket 1921(I) timely and it is not dismissed at this time. Claimant is ordered to obtain a valid assignment of the claim in Informal Docket 1921(I) from McBride within 60 days of this Order.


Tara E. Nielsen
Settlement Officer

¹² Similar to the facts in the instant proceeding, Trane noted that the "mere fact that a complainant is the sole owner of a subsidiary corporation which paid the freight is not enough to confer standing to recover reparation." Id. at 385. This principle is not directly in conflict with Rohm's holding and has not been overturned.